Question	Answer	Explanation
1	**C — intended**	A properly chosen ceiling can increase monopoly output and eliminate monopoly deadweight loss.
2	**D — $240**	Equilibrium quantity is 70; the ceiling reduces sales to 30.
3	**B, D**	Producer surplus is below the price floor and above supply, through the quantity actually sold, Q1Q_1.
4	**A, B, C, D, E**	All five can result from binding price ceilings and the resulting shortages.
5	**A — $144**	
6	**B — decreases by $72**	Producer surplus falls from 1/2(12−4)(24)=96 1/2(8-4)(12)=24.
7	**B — Price floor**	The $70 floor produces **$800 DWL**; the $40 ceiling produces **$200 DWL**.
8		Refer to Lecture
9	**E**	A binding price ceiling lowers the legal selling price. The other events raise equilibrium price.
10	**A — CF**	The floor reduces sales from 24 to 12; regions C and F represent lost gains from trade.
11	**E — None of the above**	An $8 floor is below the $12 equilibrium price, so it is nonbinding. **DWL = 0.**
12	**B**	Deadweight loss represents lost gains from mutually beneficial transactions: willingness to pay minus marginal cost.
13	**C**	With elastic demand, the higher price reduces quantity demanded proportionately more, lowering producer revenue.
14	**B — $60**	

15	**B — Shortage of 30 units**	At $5, QD=80and QS=50
16	**A, C, E**	Milk and sugar examples involve floors; Soviet cars involve a ceiling. B and D misidentify the controls.
17	**C — intended**	Identical to question 1. A ceiling can correct monopoly output restriction.
18	**B — $60**	Identical to question 14.
19	**B**	Government purchases let producers sell the entire quantity supplied. Both their selling price and quantity sold increase.
20	**E — None of the above**	Sales fall to 10. DWL =1/2(70−10)(19−1)=$540